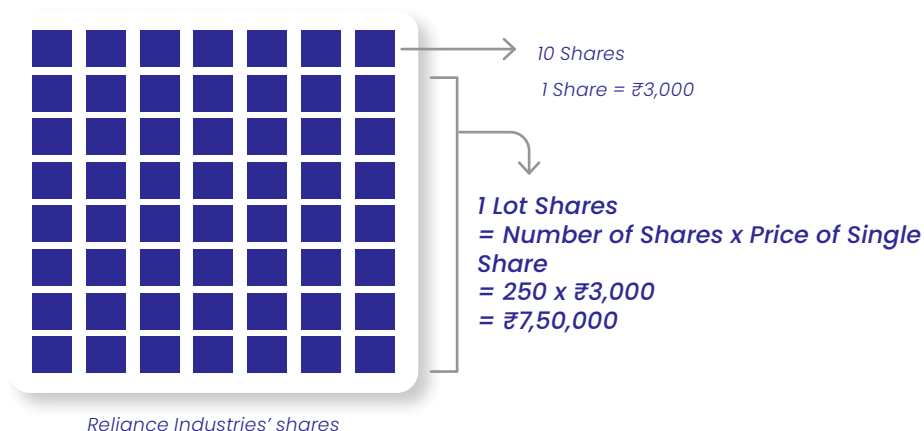


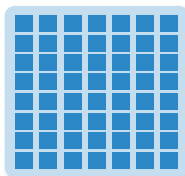
Example: Understanding key terms through Reliance Industries

Suppose Reliance Industries is trading at ₹3,000 per share. One lot of 250 shares would be worth ₹7,50,000.



Trader's Funds
₹2,25,000

Say the initial margin is 20%. It works out to ₹1,50,000 margin per lot. If you had ₹2,25,000, that would be enough margin for 1.5 lots. However, you can only buy a futures contract for one lot with these funds. The remaining ₹75,000 of your funds will be untouched.



Payment of Initial Margin (20%)
= ₹1,50,000



**Remaining Value In
Trader's Fund**
₹75,000

When traders expect a stock to rise in value, its futures price will be higher than the current market price. The latter is also called the spot price.